Middle East standoff will keep crude prices higher

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【メール原文】

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The US-Iran standoff shows no sign of ending, and despite increased flows through Hormuz, prices are likely to remain in the elevated $75-$95 per barrel range for Brent in the absence of a deal.
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China’s import reduction was a crucial factor in preventing more serious crude shortages this year, but it has done little to alleviate pressure on refined product prices.
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In the US, diesel prices are likely to rise near historic levels due to geopolitical disruptions and refinery maintenance.

A protracted standoff will keep oil prices elevated. Neither the US nor Iran appears willing to adjust its negotiating position, which means the conflict in the Middle East has settled into a stalemate that will keep Brent trading in a $75-$95 range, as it has since the June deal collapsed.

While US success at moving oil out of Hormuz is helping to keep prices from rising further, it is also discouraging any flexibility in the US negotiating position that might facilitate a deal that formally opens the strait and lowers prices. Iran, for its part, is not budging from its demand that the US acknowledge its control of the strait and return to the June deal.

China's sharp cuts to seaborne crude oil imports have allowed nearly normal import levels elsewhere. China's shipped crude imports still stood above 10 million bpd in March (most of which were ordered prior to the start of the war and its related supply disruptions). By August, these were down to 7 million bpd, as the country has drawn from its huge inventories to avoid high costs caused by the war.

Importers such as Europe, Japan, and South Korea have kept crude imports at normal levels or even raised them. Coordinated releases of strategic petroleum reserves by the International Energy Agency—of which Europe, Japan, and South Korea (but not China) are members—have provided further support. These factors explain why initial fears of oil shortages haven't materialized even six months into the conflict and ongoing supply chain disruptions. India has also managed to operate at or near normal oil demand levels thanks to ongoing high supply from Russia.

China's restraint is the main reason why Brent crude prices have not surged higher. This restraint also makes it unlikely that prices will surge back above $100 per barrel. Given that China likely still has more than 1.2 billion barrels of crude in storage, the country can continue to operate at unusually low import levels without significantly restricting domestic usage.

China’s import cuts and inventory releases help crude but not product supply. While the crude market has avoided shortages, the situation for refined products is worse. Disruptions to refinery operations in the Middle East and Russia have created bottlenecks for particular products—for jet fuel early in the summer and for middle distillates such as diesel at present.

Seasonally high fuel prices in the US will likely get worse without an Iran deal. The Middle East and Russia-Ukraine conflicts continue to constrain refined product supply. In the US, this tightness is compounded by additional factors. Seasonal stocks of diesel and home heating oil are at historic lows, while planned maintenance at several major refineries—including the sprawling St. John refinery in northeast Canada—are likely to pull prices up even higher, absent de-escalation in the Middle East.

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